

Gold Fell While Crude Gapped

Two explanations fit this morning's crude gap. One price tells them apart, and it moved against the comfortable reading.

THE READING

Globex reopened with WTI at \$102.73, up 2.68% from Friday's \$100.05 settle and sitting at 98.2% of its 88.51–102.99 risk range, against 79.7% two days ago. US and Iranian forces traded strikes around Hormuz over the weekend. Nasdaq futures are down 1.06%, twice the S&P contract's 0.51%. Gold spot is \$4,331.40, down 0.40% since the metals reopen, at 24.7% of its band; copper sits at 9.2% of its, almost on the floor.

Friday's cash session closed at 7,656.98 after tagging 7,677.02, seven points through the 7,670 line and back below it. The two-year note closed at 4.630%, up 4.4 basis points on a day equities rose almost one percent. The VIX gave back 11.2% to 15.85.

WHAT WISDOM WOULD SAY

Francis Bacon, in the *Novum Organum* of 1620, named the instance of the fingerpost: at a fork in the road, the single observation that decides between two explanations which until then fit the evidence equally well. He was clear that most evidence does not do this work. Most of it is compatible with both stories, and gathering more of it changes nothing.

Two stories explain crude at \$102.73. One is a war premium — tankers struck, a chokepoint carrying roughly ten ships a day, a supply fear that should lift every hedge against disorder. The other is energy passing through into an inflation the front end is already repricing, three days before a meeting with a hike near nine-tenths priced.

Both predict crude higher. They part on gold. The war premium predicts gold bid; the rates story predicts gold offered, because the cost of holding it rises with the two-year. Gold fell. That is the fingerpost, and it points away from the reading that treats this morning as a headline to be waited out.

THE RISK IT JUSTIFIES

If the binding variable is rates rather than tankers, the instruments to size are the rate-sensitive ones, and the move is not to buy protection against an event that has already happened. Nasdaq futures falling twice as fast as the S&P contract says the same thing: long-dated cash flows marked down, not a broad flight from risk. Small caps are not leading lower.

That argues against adding index risk below the 7,670 line into a Wednesday already nine-tenths priced, and against reading a fifteen-handle VIX as calm when it was fear twenty hours ago. It argues for leaving energy size where Friday left it rather than chasing a contract a quarter of a percent from its ceiling, and for holding gold at the size it was rather than adding on the headline.

What would change the answer: gold recapturing \$4,380 while crude holds. That restores the haven reading and makes the rest of this wrong.

If gold is bid by the Seoul open, which of this morning's conclusions do you drop first?